

MEDIA TITANS UNITE



The merger of Reliance's media business with The Walt Disney Company's India entities will reshape India's media landscape



The merger consolidates assets, including 100 TV channels, and the Disney+ Hotstar and JioCinema apps, along with rights to sporting events



Reliance will own 16.34% stake, Viacom18 will have 46.82%, and Disney's share will be 36.84%



Nita Ambani has been named the Chairperson of the JV, with Uday Shankar, Co-founder of Bodhi Tree Systems, as the Vice Chairperson

(or approximately, \$1.4 billion) into the JV for its growth strategy. Nita Ambani will be the Chairperson of the JV, while Uday Shankar, Co-founder of Bodhi Tree Systems, which owns a stake in Viacom18, will be the Vice Chairperson. Shankar, a former Disney India chief who has also led Star India, will provide overall strategic leadership.

"Despite being the larger of the two, Disney's Star India has seen its valuation drop to roughly \$4 billion, accounting for the anticipated loss from its sports business," says Abneesh Roy, Executive Director (Research), Nuvama Institutional Equities. Viacom18 was valued at roughly \$4 billion when Reliance Industries and Bodhi Tree infused over ₹15,000 crore into the company in April 2023, he adds. Initially, Disney reportedly valued the India business at around \$10 billion, whereas Reliance's valuation of the assets was a purported \$7-8 billion.

Disney's linear TV and streaming businesses in India have been hit over the past few years. Disney+ Hotstar, particularly, has bled 23 million subscribers since losing the IPL digital streaming rights to JioCinema. In fact, since mid-2022, Viacom18 has been collecting several properties that once had a home at Disney in India—whether it is the IPL digital rights, rights to bilateral India cricket matches or HBO content.

Vivek Menon, Managing Partner of media and entertainment debt fund NV Capital, notes that Disney has encountered a turbulent period on the global stage over the past few years. The company's stock price has plummeted from a peak of \$200 to about \$100 now. "In India, they needed to pump additional capital because of the high cash burn on IPL broadcasting rights and Cricket World Cup rights on digital. A merger fits their strategy to conserve cash as well as dilute their holding to raise capital from their India franchise," he adds.

The merger marks Disney's fourth avatar in India, following partnerships with the K.K. Modi Group in 1993 and Ronnie Screwvala's UTV Software Communications in the mid-2000s. Disney's expansion continued with the acquisition of 21st Century Fox in 2018 for \$71 billion, incorporating Indian operations under Disney Star (earlier Star India).

Analysts say the combined FY23 revenue of ₹25,000 crore, which gives the merged company a 40% market share in linear TV and OTT sectors, could draw scrutiny from the Competition Commission of India (CCI) as the entity will become the single largest player in the field. The merger also reinforces their dominance in sports, with rights valued at nearly ₹55,000 crore for major cricket properties over the next four to five years, projecting an 80-90% share of cricket advertising revenues in India. The deal also comes just before the commencement of IPL's 2024 edition.

Uday Sodhi, former head of SonyLIV and Founding Partner of Kurate Digital Consulting, says JioCinema has aggregated content from HBO and NBC Universal. The merger will add Disney content also to the mix, he says, as the JV now has the licence to more than 30,000 Disney content assets. "This is great for the consumer. Netflix, Amazon Prime Video and the other OTT players will have to now face a stronger competitor and will have to up their game," he adds.

This is the second big-ticket merger in the Indian media and entertainment sector, following the high-profile announcement of a deal between Sony Pictures Networks India (SPNI) and Zee Entertainment Enterprises Limited (ZEEL) in September 2021. However, the Zee-Sony merger ultimately fell through last month, after numerous twists and turns.

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